

2024

Bachelor in Business Administration

Course Title: **Micro Economics for Business**

Code No: **ECO203** Semester: **1st Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

Brief Answer Questions:[10 × 2 = 20]

1. Write any two fundamental economic principles.
2. Demand is a flow of concept. Why?
3. Differentiate between cardinal and ordinal utility.
4. Why does TU increase at a decreasing rate when MU decreases?
5. Mention the features of monopoly market.
6. Define economic profit and accounting profit.
7. Let, $MRTS = 2$, compute the ratio of marginal productivities of two inputs.
8. Suppose, price of goods X decreases from Rs 20 per unit to Rs 16 per unit and quantity demanded of X increases from 100 units to 120 units, find the price elasticity of demand.
9. Find the equilibrium quantity of a firm having marginal revenue function $MR = 1200 - 25Q$ and marginal cost function $MC = 200 + 25Q$.
10. If the production function is $Q = 50L^3K^2$ and 10 units of capital and 2 units of labour, find the output of a firm.

Section B

Short Answer Questions:(Attempt any SIX Questions)[6 × 5 = 30]

11. Describe the scope of business economics.
12. How are the price and the output determined under monopolistic competition in long run? Explain.
13. What is isoquant? Explain its properties.
14. Describe the relationship between average cost and marginal cost.
15. The demand function of a monopoly firm is $P = 200 - 2Q$ and the cost function is $C = Q^2 + 40Q + 2$. Find profit maximizing output and maximum profit.

16. Explain the dominant strategy in game theory.
17. Explain the causes of shift in supply curve of labour.

Section C

Long Answer Questions:(Attempt any THREE Questions)[3 × 10 = 30]

18. Define indifference curve. How does a consumer get equilibrium in indifference curve approach?
19. What is microeconomics. Explain its uses in business operations.
20. The short run total cost function is given below. $TC = 200 + 5Q - 0.04 Q^2 + 0.001 Q^3$. a. Calculate total fixed cost and average fixed cost at $Q = 10$. b. Derive functions for average variable cost, average cost, marginal cost. c. Compute the value of AVC, AC, TC and AVC at $Q = 10$.
21. Read the following table and answer the questions:

Combination	A	B	C	D	E	F	Price (Rs)
1	0	0	0	0	0	0	100
2	0	20	0	0	0	0	200
3	0	40	0	0	0	0	300
4	0	60	0	0	0	0	400
5	0	80	0	0	0	0	500
6	0	100	0	0	0	0	600
Supply (in units)	1,000	2,000	3,000	4,000	5,000	6,000	

 a. Find out the elasticity of supply movement from B to D and D to B by proportional method. b. Find out the elasticity of supply from C to E and E to C by arc method.

Section D

Comprehensive Answer / Case / Situation Analysis Questions:[20]

22. Read the following case carefully and answer the questions that follow:
 The prices of essential goods, including fruits and vegetables, have increased in the last seven days due to short supply of use commodities in the local market, as the loaded vehicles with the essential commodities have been unable to enter Nepal through India and other regions. Despite the continuous transportation protest in Terai since over a month, Terai farmers had not been able to sell their products in the market as a result the price of vegetables had gone significantly down. As the loaded vehicles were unable to enter Nepal since few days, the vegetable prices have raised in the domestic market. The price of potatoes has increased by Rs 20 per kg each to Rs 60 and Rs 45, respectively. Similarly, price of cauliflower has gone up by Rs 15 per kg to Rs 45 per kg the price of French bean, on the other hand, has raised Rs 25 per kg to Rs 60 per kg, as against Rs 45 per kg last week, according to whole sale market of Fruits and Vegetables, Kathmandu. As per the price list of whole sale market of Fruits and Vegetable, Kathmandu, prices of other vegetables and fruits have also increased heavily. The price rise, especially of potatoes and onions, is mainly due to uncertainty of import from India. Price of dry onions has soared by eye-watering Rs 50 per kg compared with Rs 105 per kg. Even the price of other vegetables that are produced within a country has raised due to low supply created by transportation protest, prices of pointed gourd (parwal) and balsam apple (barela) has increased by Rs 15 per kg each and their prices have been at Rs 60 and Rs 70 per kg. Likewise, price of fruits has increased substantively, price of pomegranate has increased by Rs 35 per kg to Rs 225 per kg. That of pineapple by Rs 15 per piece to Rs 110. Price of guava increased by Rs 22 per kg to Rs 57 per kg. Price of fresh fish has also sky-rocketed by Rs 100 per kg and is fixed Rs 315 per kg, compared to Rs 225 per kg on last week, demand of fish falls from 85000kg to 72000kg.
 Questions: a. Identify the causes for rising prices and explain them. b. What are the relevant factors that affect the demand for and supply of fruits and vegetables? c. Do you agree that rate of price fluctuation of fruits and vegetables are influenced by their elasticities? Give reasons. d. What types of price control measures that government can follow to maintain stable prices for fruits and vegetables?